

HSBC & StanChart

Thoughts into 2Q26: Asia momentum and resilient rates to support the earnings outlook

Ahead of 2Q results, we update our forecasts for HSBC/StanChart to reflect a more resilient interest rate environment and strong momentum in Asia across fee-generating businesses. We increase EPS for HSBC by c2% FY26-28E, driven by stronger Banking NII, with management potentially raising FY26 guidance from c\$46bn to c\$47bn (vs JPMc \$46.7bn, consensus \$46.4bn), and a slightly stronger run-rate in Fees, particularly in Banking/Markets, partly offset by higher costs. We expect the Group to restart its buyback programme at \$2bn with 2Q results. For StanChart, we make limited changes to EPS following the Group's investor update (see [here](#), [here](#)) with stronger revenues offset by higher cost growth. We forecast NII growth of +2% FY26E, which offers potential upside to management guidance of flat y/y (vs consensus +1%) alongside total revenue growth of c6% FY26E (vs guidance of the bottom end of 5-7%). We expect a step-down in the share buyback to \$1bn, in line with the Group's strategy for wider capital allocation into growth opportunities. As a result of these changes, we increase our HSBC PT to £13.8 (from 13.7) and StanChart PT to £22.7 (from £22.2). Concerns around China ODI (see [here](#)) have eased in recent weeks, although we still expect additional friction in the Wealth investment process to modestly impact Wealth flows – we will review upon clearer guidance from the banks. Both banks are positively exposed to the structural growth themes of Asia Wealth and capital markets opening, which offers potential upside to EPS across the medium term, with our preference for StanChart (OW) at 10.1x PE, 1.4x PTNAV for a ROTE of 14.9% 27E over HSBC (N) at 10.7x PE, 1.9x PTNAV for a ROTE of 18.7% 27E.

- Increasing NII to reflect resilient rates and continued volume recovery:**
 We update our forecasts ahead of 2Q results, reflecting a stronger rates outlook with 1M HIBOR averaging at 257bps in 2Q and ending the quarter at 294bps (vs 223bps 1Q average). For 2Q, we expect HSBC to see Banking NII of \$11.58bn (+3% q/q), while for StanChart we expect NII of \$2.8bn (-2% q/q) – both broadly in line with consensus. We now forecast average US rates of 375bps/375bps/350bps FY26-28E, which is slightly below the forward curve, alongside 1M HIBOR of 270bps/275bps/275bps. With continued momentum in volume growth including a gradual recovery in HK lending (+6% y/y in May '26 inc. mortgages +3.3%), we increase our HSBC Banking NII forecasts to \$46.7bn 26E (vs consensus \$46.4bn) and \$49.7bn 28E (vs consensus \$49.4bn), while we see StanChart as more diversified with these trends carrying less weight, although our FY26E NII forecast of +2% is above guidance and consensus expectations.
- Read-across from US bank reporting** highlighted strength in Asia capital markets and trading, which should be reflected in HSBC and StanChart's markets/banking divisions, although both hold limited exposure to equity-related businesses. The Hang Seng Index declined by c8% through 2Q, which

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Equity Ratings and Price Targets

Company	Ticker	Mkt Cap (£ bn)	Price (p)	Rating		Price Target			
				Cur	Prev	Cur	End Date	Prev	End Date
HSBC Holdings plc	HSBA LN	257.61	1,481	N	n/c	1,380	Dec-27	1,370	n/c
Standard Chartered	STAN LN	48.46	2,080	OW	n/c	2270.0	Dec-27	2220.0	n/c

Source: Company data, Bloomberg Finance L.P., J.P. Morgan estimates. n/c = no change. All prices as of 20 Jul 26.

See page 9 for analyst certification and important disclosures, including non-US analyst disclosures.

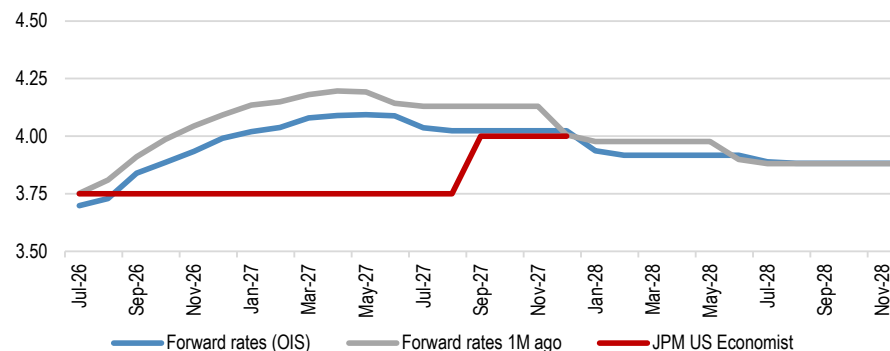
may dampen Wealth numbers, particularly for HSBC considering its investment distribution business, although HK IPO activity remained high. For 2Q, we forecast StanChart to see Wealth income growth of +23% y/y alongside c\$15bn of net new flows (c16% net new money rate), which is seasonally slower vs 1Q, while we expect HSBC to see Wealth income growth of +16% y/y. We also expect StanChart to see 2Q Markets income of -5% y/y, although with flow income +13% y/y offset by a decline in episodic income, while we expect HSBC's Transaction Banking income (with FX within) to slow slightly to +4% y/y alongside flat y/y IB, Debt and Equity markets (vs -17% y/y in 1Q).

- **Asset quality trends are broadly stable** although we include a \$0.2bn charge in 2Q for HSBC, reflecting its press-reported c\$0.4bn exposure to IFFCO Group (Dubai-based conglomerate), assuming some hedged exposure – see [here](#). We don't expect material changes to IFRS9 overlays in relation to the Middle East in the near term.
- **Key HK system data points in May:** System loan growth improved further to +6% y/y in May, driven by both domestic loans and loans for use outside HK. Mortgage growth continues to recover from subdued levels, up +3.3% y/y in May. Deposit growth remains strong at 9.9% y/y led by demand deposits (+15% y/y) and savings deposits (+10% y/y) while we highlight that the system's share of USD deposits has increased to c45%.

Key data points

Figure 1: USD OIS curve – current vs 1M ago vs Economist

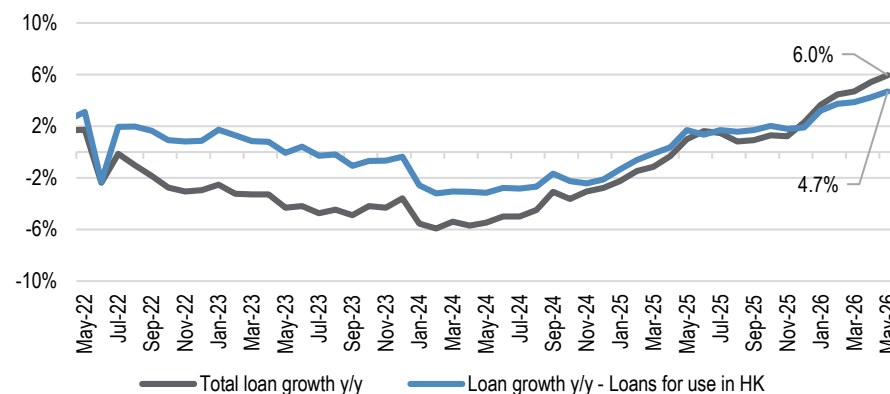
Forward OIS curve, %



Source: Bloomberg Finance L.P. Note: As of 17 July 2026.

Figure 3: HK loan growth recovery at 6% y/y driven by both domestic and loans for use outside HK

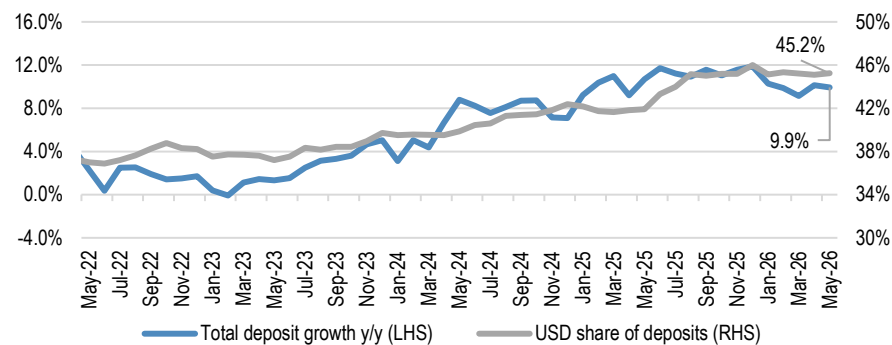
y/y %



Source: HKMA, J.P. Morgan.

Figure 2: HK deposit growth remains strong at c10%, with the share of USD deposits now representing 45%

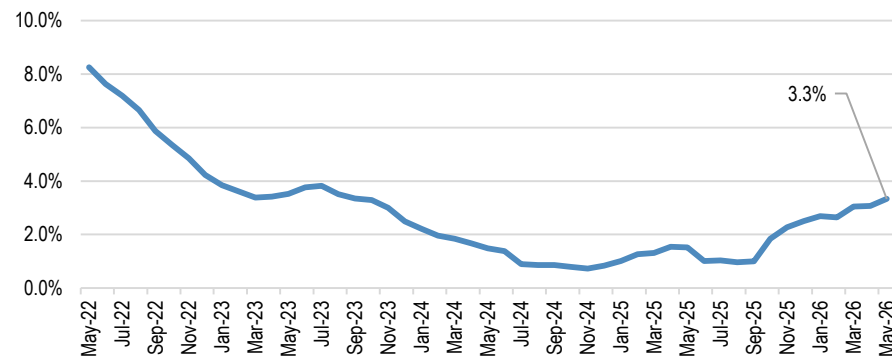
y/y %, Share of USD deposits in total deposits %



Source: HKMA, J.P. Morgan.

Figure 4: HK Residential mortgage growth continues to recover

y/y %



Source: HKMA, J.P. Morgan.

HSBC 2Q 2026

HSBC reports results on 4th August.

Figure 5: HSBC JPMe forecasts for 2Q

\$m

	2Q25	1Q26	2Q26e	BBG Cons	JPMe vs Cons
Banking Nil	10,714	11,253	11,582	11,549	0%
Fee and other income	6,943	7,872	7,153	7,102	1%
o.w. Transaction Banking	2,783	3,081	2,900		
o.w. Wealth	2,273	2,697	2,646		
o.w. Other	1,887	2,094	1,607		
Underlying revenues	17,657	19,125	18,735	18,651	0%
Underlying costs	-8,268	-8,543	-8,425	-8,458	0%
Pre-provision profit	9,389	10,582	10,310	10,193	1%
Loan loss provision charge	-1,065	-1,301	-1,270	-1,033	23%
Operating profit before tax	8,324	9,281	9,040	9,160	-1%
Associate income	838	774	803	797	1%
Clean pretax profit	9,162	10,055	9,844	9,956	-1%
Exceptionals	-2,836	-679	-270		
Pre-tax profit	6,326	9,376	9,574		
DPS (\$)	0.10	0.10	0.10	0.10	0%
TNAV/sh (\$)	9.17	9.46	9.31		
B3 CET1 ratio	14.6%	14.0%	14.2%	14.2%	

Source: J.P. Morgan estimates, Company data.

STAN 2Q 2026

STAN reports results on 29th July.

Figure 6: STAN JPMe forecasts for 2Q

\$m

	2Q25	1Q26	2Q26E	BBG Cons	JPMe vs Cons
Nil	2,702	2,869	2,810	2,834	-1%
Other Income	2,825	3,033	2,689	2,738	-2%
Revenue	5,527	5,902	5,499	5,573	-1%
o.w. Transaction Services	1,471	1,512	1,521		
o.w. Global Banking	548	663	605		
o.w. Global Markets	1,172	1,190	1,116		
o.w. Wealth Solutions	742	1,043	899		
Operating expenses	-3,201	-3,140	-3,316		
Pre-provision operating profit	2,326	2,762	2,183		
Loan impairments	-119	-296	-243		
Profits pre-Other impairments/Assocs	2,207	2,466	1,941		
Other impairments	-4	-2	-6		
Profit from associates	77	-14	5		
Clean Pretax profits	2,280	2,450	1,940	2,063	-6%
DPS	0.12		0.20	0.19	7%
TNAV/s	\$16.80	\$17.20			
CET1 ratio	14.3%	13.4%	13.6%	13.8%	

Source: J.P. Morgan estimates, Company data.

Investment Thesis, Valuation and Risks

HSBC Holdings plc (Neutral; Price Target: 1,380p)

Investment Thesis

While we rate HSBC's management highly and believe the group is on the right strategic path over the longer term, we see the investment case as balanced with the stock rated Neutral and trading at a premium to UK/European peers '27, although with ongoing uncertainties including from the Middle East. We see the stability in the rate environment and improving volume growth driving Banking NII CAGR of 4% 25-28E, supported by hedge reinvestments in the near term. The outlook for Fee income is also positive supported by structural Asia trends, with total income growth expected at c4% 28E (vs 5% guidance) and c5% CAGR 25-28E. We see a disciplined trajectory for costs with the Group's \$1.5bn simplification plan ahead of plan and the cost re-allocation plan driving more investment into high growth areas (e.g. Wealth), driving cost CAGR of c4% 25-28E. Wealth remains a strong growth engine, which we forecast at a c12% CAGR, while we continue to highly value the Group's deposit gathering franchise. While CRE market trends are becoming more encouraging, risks remain, which we see as keeping CoR at the high end of normalised levels in the near term. Overall, we see underlying ROTE at c18-19% annually across 26-28E (vs targets of 17% or better), with buybacks likely to restart with 2Q and a total yield of c8% 27-28E

Valuation

Our sum-of-the-parts-based Dec-27 price target for HSBC of 1,380p is calculated using a blend of P/E (divisional and regional) on our 2028 estimates, with excess capital at 1x above 14% CT1.

HSBC SOP

£m

£ MILLION Division	Post Tax Profit 2028E	Allocated Equity 2028E	RWAs £ bn 2028E	RoE % 2028E	Valuation Basis	£ mn Value	£ Per Share	(x) PE	(x) P/BV
Hong Kong	7,029	14,915	106.5	47.1		80,832	5.10	11.5x	5.4
UK	4,314	17,574	125.5	24.5		41,155	2.60	9.5x	2.3
Commercial & Institutional	5,561	48,081	343.4	11.6		50,049	3.16	9.0x	1.0
International Wealth and Premier	4,775	10,154	72.5	47.0		50,136	3.16	10.5x	4.9
Corporate Centre ex-Associates/JVs	257	10,165	72.6	2.5		2,567	0.16	10x	0.3
Associates and JVs	2,284				Market Value	13,796	0.87		
Minorities and prefs	124		0.0			1,241	0.08	10x	
Capital excess/ shortfall		921			1 times BV	921	0.06		1.0
HSBC Group Valuation (Dec-27)	24,344	101,809	720.629	23.9		240,696	13.80	9.9	2.4

Source: J.P. Morgan estimates.

Risks to Rating and Price Target

- **Macro-economic risks:** HSBC is exposed to GDP growth in HK, SAR and Greater China, and the UK, as well as FX and cross-border and political risks, which could pose both upside and downside risks. Similarly, the global interest rate and inflation outlook could have an impact on group margins, which may differ from expectations.
- **EM outlook:** We expect the asset quality outlook to deteriorate and forecast CoR growth at the top end of normalised levels in the medium term – with both upside and downside risks to this. This includes specific areas such as China/HK CRE where there are early signs of a positive turn, but this remains volatile. Further, HSBC's stake in BoCom could present downside risk from a revaluation in the current environment.
- **Regulatory risks:** Some of the regulatory risks include Basel 4, performance in BoE stress tests/CCAR, changes in capital regime, etc.

Investment Thesis, Valuation and Risks

Standard Chartered (Overweight; Price Target: 2270.0p)

Investment Thesis

We view StanChart as offering strong EPS growth potential (JPMe +19% CAGR 25-28E) at attractive valuations of c10x PE 27E compared to international peers, supported by structural growth drivers and balance sheet growth. We forecast revenue CAGR of +6.3% 25-28E and operating leverage annually to drive the CIR lower to c57% 27E, underpinned by the Group's scalable technology infrastructure and cost-saving initiatives (e.g. >15% corporate function headcount reduction by 30E, c20% increase in income/employee by 28E). We also see favourable business mix changes towards Wealth and Financial Institutions/network income within the CIB to drive ROTE >15% 28E (vs JPMe 15.7%) with the trajectory to continue higher thereafter. We see capital allocation more balanced across dividends (JPMe 34-35% div payout), RWA growth and buybacks, with optionality for further growth opportunities should the environment be conducive.

Valuation

We value StanChart using a SOTP methodology with divisional multiples differentiated by type of business. We value Corporate, Commercial and Institutional Banking at 9.0x P/E, and Consumer, Private & Business Banking Commercial at 10.0x P/E. We value excess capital above 13.0% at 1x. Our Dec-27 PT is 2,270p.

StanChart SOP

£m

£ MILLION Division	Post Tax Profit 2028E	Allocated B4 Equity 2028E	RWAs £ bn 2028E	Valuation Basis	£ mn Value	£ Per Share	(x) PE	(x) P/BV
Corporate, Commercial & Institutional Banking	3,866	22,184	170.6	P/E	34,798	17.27	9.0	
Consumer, Private and Business Banking	2,332	6,254	48.1	P/E	23,321	11.57	10.0	
Corporate centre and other	-993	2,680	20.6	P/E	-8,939	-4.44	9.0	
Capital Excess		1,070		1x BV	1,070	0.53		1.0
Standard Chartered Group	5,205	32,187	239.4		50,249	24.9	9.7	
Standard Chartered Group (Dec-2027)						22.7		

Source: J.P. Morgan estimates

Risks to Rating and Price Target

- **Macro-economic risks:** Being an EM-focused bank, StanChart is exposed to general macro-economic risk in EM such as slowdowns, inflationary pressures (given import dependencies e.g. energy), depreciation of EM currencies and cross-border and political risks. The Group is also interest rate sensitive and therefore earnings may adjust higher or lower depending on the rate environment.
- **Provisioning outlook:** We expect provisions at normalised levels across the medium term given growing pressures in the economic environment. An increase or decrease in provisions as a result of the economic outlook or with regard to specific cases poses a risk to our forecasts.
- **Regulatory uncertainty:** Standard Chartered remains exposed to changes in the regulatory environment in the UK, with capital requirements being set by the PRA in the UK. While StanChart has limited UK exposure, the Group is still subject to regulatory changes such as Basel 4 and BoE stress tests.

HSBC Holdings plc: Summary of Financials

Income Statement						Balance Sheet						FY24A FY25A FY26E FY27E FY28E FY29E					
Interest income	32,970	34,794	38,023	39,713	41,319	-	Cash and cash equivalents	664,555,693	776,693	776,693	776,693	776	-				
Interest expense	-	-	-	-	-	-	Deposits with banks	-	-	-	-	-	-				
Net interest income	32,970	34,794	38,023	39,713	41,319	-	Net loans	930,658,988	3,991,026	784,106,324	11,104,459	-	-				
Non interest income	34,464	36,226	37,055	38,580	40,106	-	PP&E	0	0	0	0	0	-				
o/w Fee income	14,015	13,343	13,648	14,210	14,772	-	Net intangibles	12,384	13,107	13,238	13,370	13,504	-				
o/w Trading income	21,116	19,682	20,132	20,961	21,790	-	Financial Assets Available for Sale	-	-	-	-	-	-				
Net revenues	67,434	71,020	75,077	78,293	81,425	-	Other assets	1,409,451,537	752,156,389	1,593,261,619	1,83	-	-				
Non interest expense	(32,810)	(33,464)	(34,397)	(35,778)	(37,216)	-	Total assets	3,017,048,233	0,343,297,695	3,363,649,430	922	-	-				
o/w Employee costs	(18,465)	(19,553)	(19,696)	(20,282)	(20,886)	-	Interest earning assets	-	-	-	-	-	-				
Pre-Prov. Profits	34,624	37,556	40,681	42,515	44,210	-	Deposits	1,654,955,178	6,828,186	932,194,319	2,021,845	-	-				
Provisions	(3,414)	(3,850)	(4,827)	(4,280)	(4,434)	-	Borrowings	248,033,248	0,332,480,332	248,033,248	0,332,480,333	-	-				
Adj. PBT	34,122	36,617	38,852	41,285	42,879	-	Other liabilities	895,829,966	5,499,542,149	39,874,922	764	-	-				
Income taxes	(7,310)	(6,776)	(7,535)	(8,317)	(8,536)	-	Total liabilities	2,824,775,027	3,683,096,137	3,157,058,321	599	-	-				
Minority interest	(1,020)	(846)	(130)	(60)	(60)	-	Shareholder equity	165,903,177	5,091,788,961	83,929,189	660	-	-				
Adj. Net profit	25,216	27,265	29,555	31,474	32,645	-	Minority interests	26,370	28,157	22,662	22,662	22,662	-				
PPOP per share	1.89	2.16	2.39	2.55	2.74	-	Total liabilities and Shareholder equity	3,017,048,233	0,343,297,695	3,363,649,430	922	-	-				
Reported EPS	1.24	1.20	1.64	1.89	2.00	-	Interest bearing liabilities	-	-	-	-	-	-				
Adj. EPS	1.36	1.55	1.72	1.87	2.01	-	Book Value Per Share	9.26	10.36	10.55	11.21	11.96	-				
DPS	0.87	0.75	0.84	0.93	1.00	-	Tangible Book Value Per Share	8.61	9.64	9.77	10.39	11.11	-				
Diluted shares outstanding	18,485	17,547	17,170	16,807	16,253	-											
Balance Sheet Gearing						Asset Quality/Capital						FY24A FY25A FY26E FY27E FY28E FY29E					
Loans/Deposits	56%	55%	55%	55%	55%	-	Loan loss reserves/Loans	(1%)	(1%)	(1%)	(1%)	(1%)	-				
Investment/Assets	-	-	-	-	-	-	NPLs/Loans	2%	2%	2%	2%	2%	-				
Loan/Assets	31%	30%	31%	31%	32%	-	Loan loss reserves/NPLs	31%	27%	27%	28%	29%	29%				
Customer deposits/Liabilities	59%	59%	60%	62%	63%	-	NPL y/y growth	17%	0%	2%	2%	2%	-				
LT debt/Liabilities	4%	5%	4%	4%	4%	4%	Tier 1 ratio	17%	17%	16%	16%	16%	-				
Ratio Analysis (%)						Ratio Analysis (%)						FY24A FY25A FY26E FY27E FY28E FY29E					
Net interest margin	2%	2%	2%	2%	2%	-	Return on equity (ROE)	15.2%	15.9%	16.6%	17.3%	17.5%	-				
Non interest income/Net revenue	51%	51%	49%	49%	49%	-	Return on assets (ROA)	0.8%	0.9%	0.9%	0.9%	1.0%	-				
Non interest income/Avg. Assets	1%	1%	1%	1%	1%	-	ROTE	16.0%	17.1%	18.2%	18.7%	18.8%	-				
Efficiency ratio	49%	47%	46%	46%	46%	-	Tax rate	23%	23%	20%	20%	20%	-				
Leverage ratio	5.6%	5.9%	5.6%	5.7%	5.7%	-	Net loans y/y growth	(1%)	6%	4%	4%	4%	-				
Revenue/Assets	2%	2%	2%	2%	2%	-	Assets y/y growth	(1%)	7%	2%	2%	2%	-				
RORWA	3.0%	3.2%	3.3%	3.4%	3.4%	-	RWA y/y growth	(2%)	6%	2%	3%	3%	-				
RWA	838,254,888	647,907,071	934,086,966	364	-	-	Deposits y/y growth	3%	8%	5%	4%	4%	-				
Avg. RWA	846,184,863	451,897,859	920,578,950	225,483,182	-	-	Net interest income y/y growth	(10%)	6%	9%	4%	4%	-				
LLR	(6,040)	(6,040)	(6,342)	(6,659)	(6,992)	-	Revenues y/y growth	3%	5%	6%	4%	4%	-				
NPLs	22,615	22,615	23,067	23,529	23,999	-	Adj. EPS y/y growth	9%	14%	11%	9%	7%	-				
P/BV (x)	2.2	1.9	1.9	1.8	1.7	-	BVPS y/y growth	6%	12%	2%	6%	7%	-				
P/TBV (x)	2.3	2.1	2.0	1.9	1.8	-	IE assets/Assets	70%	68%	70%	71%	73%	-				
Adj. P/E (x)	14.6	12.8	11.6	10.6	9.9	-	Margins (as % of Avg. Assets)	-	-	-	-	-	-				
Dividend yield	4.4%	3.8%	4.2%	4.7%	5.0%	-	LLP/Loans	(0.4%)	(0.4%)	(0.5%)	(0.4%)	(0.4%)	-				
Dividend payout	70.2%	62.4%	51.3%	49.2%	50.1%	-	Equity/Assets	-	-	-	-	-	-				

Standard Chartered: Summary of Financials

Income Statement							Balance Sheet						
	FY24A	FY25A	FY26E	FY27E	FY28E	FY29E		FY24A	FY25A	FY26E	FY27E	FY28E	FY29E
Interest income	11,112	11,184	11,360	11,742	12,200	-	Cash and cash equivalents	48,168	48,168	48,168	48,168	48,168	-
Interest expense	-	-	-	-	-	-	Deposits with banks	58,872	58,872	58,872	58,872	58,872	-
Net interest income	11,112	11,184	11,360	11,742	12,200	-	Net loans	281,032	286,788	298,403	311,599	325,412	-
Non interest income	8,308	9,645	10,692	11,671	12,813	-	PP&E	2,425	2,425	2,425	2,425	2,425	-
o/w Fee income	3,734	4,249	4,710	5,141	5,645	-	Net intangibles	5,791	6,231	6,418	6,610	6,809	-
o/w Trading income	9,443	10,294	11,412	12,456	13,676	-	Financial Assets Available for Sale	-	-	-	-	-	-
Net revenues	19,420	20,829	22,053	23,413	25,013	-	Other assets	453,400	517,471	543,257	572,478	603,073	-
Non interest expense	(12,402)	(13,145)	(13,297)	(13,363)	(14,136)	-	Total assets	849,688	919,955	957,543	1,000,152	1,044,759	-
o/w Employee costs	(8,510)	(9,109)	(9,215)	(9,260)	(9,796)	-	Interest earning assets	397,270	403,502	415,352	428,790	442,852	-
Pre-Prov. Profits	7,018	7,684	8,755	10,050	10,877	-	Deposits	464,489	530,161	559,924	593,176	620,633	-
Provisions	(1,135)	(737)	(1,084)	(1,051)	(1,096)	-	Borrowings	66,359	67,907	67,730	67,550	67,366	-
Adj. PBT	5,991	7,009	7,681	9,029	9,811	-	Other liabilities	274,058	274,829	282,167	290,152	305,553	-
Income taxes	(1,972)	(1,866)	(2,005)	(2,438)	(2,649)	-	Total liabilities	804,906	872,897	909,821	950,878	993,553	-
Minority interest	8	(12)	(13)	(13)	(13)	-	Shareholder equity	44,388	46,593	47,257	48,809	50,741	-
Adj. Net profit	4,315	5,629	5,058	5,948	6,507	-	Minority interests	394	465	465	465	465	-
PPOP per share	2.76	3.29	3.98	4.78	5.40	-	Total liabilities and Shareholder equity	849,688	919,955	957,543	1,000,152	1,044,759	-
Reported EPS	1.38	1.90	2.28	2.79	3.19	-	Interest bearing liabilities	-	-	-	-	-	-
Adj. EPS	1.65	2.34	2.28	2.79	3.19	-	Book Value Per Share	18.43	20.74	22.01	23.68	25.76	-
DPS	0.37	0.61	0.78	0.98	1.12	-	Tangible Book Value Per Share	14.99	16.77	18.14	19.49	21.27	-
Diluted shares outstanding	2,610	2,404	2,218	2,132	2,041	-							
Balance Sheet Gearing							Asset Quality/Capital						
	FY24A	FY25A	FY26E	FY27E	FY28E	FY29E		FY24A	FY25A	FY26E	FY27E	FY28E	FY29E
Loans/Deposits	61%	54%	53%	53%	52%	-	Loan loss reserves/Loans	(1%)	(1%)	(1%)	(1%)	(1%)	-
Investment/Assets	46%	49%	51%	52%	53%	53%	NPLs/Loans	2%	2%	2%	2%	2%	-
Loan/Assets	35%	33%	32%	32%	32%	-	Loan loss reserves/NPLs	62%	58%	52%	52%	52%	52%
Customer deposits/Liabilities	58%	61%	62%	62%	62%	-	NPL y/y growth	(14%)	(4%)	1%	2%	2%	-
LT debt/Liabilities	8%	8%	8%	7%	7%	7%	Tier 1 ratio	17%	17%	16%	16%	16%	-
							CET1 ratio	14.2%	14.1%	13.6%	13.5%	13.4%	-
							CET1 capital	35,188	36,438	36,740	38,426	40,234	-
Ratio Analysis (%)							Ratio Analysis (%)						
	FY24A	FY25A	FY26E	FY27E	FY28E	FY29E		FY24A	FY25A	FY26E	FY27E	FY28E	FY29E
Net interest margin	2%	2%	2%	2%	2%	-	Return on equity (ROE)	9.7%	12.4%	10.8%	12.4%	13.1%	-
Non interest income/Net revenue	43%	46%	48%	50%	51%	-	Return on assets (ROA)	0.5%	0.6%	0.5%	0.6%	0.6%	-
Non interest income/Avg. Assets	1%	1%	1%	1%	1%	-	ROTE	11.7%	14.7%	12.9%	14.9%	15.7%	-
Efficiency ratio	64%	63%	60%	57%	57%	-	Tax rate	33%	27%	26%	27%	27%	-
Leverage ratio	4.8%	4.9%	4.9%	4.9%	4.8%	-	Net loans y/y growth	(2%)	2%	4%	4%	4%	-
Revenue/Assets	2%	2%	2%	2%	2%	-	Assets y/y growth	3%	8%	4%	4%	4%	-
RORWA	1.8%	2.2%	1.9%	2.1%	2.2%	-	RWA y/y growth	1%	4%	5%	5%	5%	-
RWA	247,065	258,031	269,663	284,126	299,209	-	Deposits y/y growth	(1%)	14%	6%	6%	5%	-
Avg. RWA	245,608	252,548	263,847	276,894	291,667	149,604	Net interest income y/y growth	8%	1%	2%	3%	4%	-
LLR	(3,948)	(3,087)	(3,118)	(3,180)	(3,244)	-	Revenues y/y growth	9%	7%	6%	6%	7%	-
NPLs	6,203	5,964	6,024	6,144	6,267	-	Adj. EPS y/y growth	37%	42%	(3%)	22%	14%	-
P/BV (x)	1.5	1.3	1.3	1.2	1.1	-	BVPS y/y growth	9%	12%	6%	8%	9%	-
P/TBV (x)	1.9	1.7	1.5	1.4	1.3	-	IE assets/Assets	64%	62%	61%	62%	62%	-
Adj. P/E (x)	16.9	11.9	12.3	10.0	8.8	-	Margins (as % of Avg. Assets)	2%	2%	2%	2%	2%	-
Dividend yield	1.3%	2.2%	2.8%	3.5%	4.0%	-	LLP/Loans	(0.2%)	(0.2%)	(0.4%)	(0.3%)	(0.3%)	-
Dividend payout	26.9%	32.3%	34.0%	35.0%	35.0%	-	Equity/Assets	5.3%	5.1%	5.0%	4.9%	4.9%	-
							Cost/Assets	1%	1%	1%	1%	1%	-
							Assets/Equity	18.8	19.5	20.0	20.4	20.5	20.6

Source: Company reports and J.P. Morgan estimates.
Note: \$ in millions (except per-share data). Fiscal year ends Dec

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HSBC Holdings plc (HSBA.L, HSBA LN) Price Chart



Source: Bloomberg Finance L.P. and J.P. Morgan; price data adjusted for stock splits and dividends.
Initiated coverage Apr 11, 2001. All share prices are as of market close on the previous business day.

Date	Rating	Price (p)	Price Target (p)
16-Oct-23	N	653	690
16-Jan-24	N	596	660
22-Feb-24	N	590	600
10-Apr-24	N	645	660
01-May-24	N	696	700
15-Nov-24	N	706	730
06-Dec-24	N	751	780
20-Feb-25	N	895	900
20-Mar-25	N	896	920
01-May-25	N	832	830
01-Aug-25	N	923	870
09-Sep-25	N	970	940
17-Oct-25	N	989	950
29-Oct-25	N	1050	1,010
02-Dec-25	N	1080	1,060
05-Feb-26	N	1308	1,190
17-Mar-26	N	1196	1,360
07-May-26	N	1343	1,370

Standard Chartered (STAN.L, STAN LN) Price Chart



Source: Bloomberg Finance L.P. and J.P. Morgan; price data adjusted for stock splits and dividends.
Initiated coverage Jun 27, 2001. All share prices are as of market close on the previous business day.

Date	Rating	Price (p)	Price Target (p)
01-Aug-23	OW	747	980
07-Sep-23	OW	702	990
16-Jan-24	OW	605	820
26-Feb-24	OW	635	850
10-Apr-24	OW	673	900
03-May-24	OW	756	1,000
31-Jul-24	OW	770	1,020
04-Dec-24	OW	966	1,180
24-Feb-25	OW	1183	1,390
04-Aug-25	OW	1355	1,490
09-Sep-25	OW	1391	1,670
17-Oct-25	OW	1428	1,690
03-Nov-25	OW	1560	1,770
02-Dec-25	OW	1681	1,880
05-Feb-26	OW	1857	2,170
25-Feb-26	OW	1789	2,200
06-May-26	OW	1819	2,220

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